

Energy Addition Within the Transition

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Executive Summary

The phrase "energy transition" has served as a useful political and cultural shorthand, but it has become a misleading framework for capital allocation. We believe the operative investment lens within energy transition for the current decade should include "energy addition." This represents a structural expansion of total global energy supply across all technology categories simultaneously, driven not by ideological preference but by the convergence of three powerful forces: geopolitical realignment, the electrification demands of artificial intelligence (AI) infrastructure and a renewed political imperative around affordability and reliability. Global energy demand grew by 1.3% in 2025, and electricity demand surged by nearly 3%.¹ Every major energy source grew, but at sharply different rates. Low-emissions sources supplied nearly 60% of incremental energy demand, and solar photovoltaic (PV) was the largest single contributor. These data show that decarbonization is occurring within an expanding global energy system. This paper argues that investment opportunities are now distributed across multiple technology categories and time horizons, and that portfolios calibrated to a simple transition story risk misallocating capital in ways that could prove costly across each of those horizons. The analysis that follows is explicitly non-partisan; neither the fossil fuel industry nor renewable energy advocates hold a monopoly on the structural dynamics now reshaping global power markets.

The Multi-Horizon Investment Framework

The central claim of this paper is straightforward: The energy system of the current decade is operating in a capacity-addition cycle, within a transition cycle. Total energy demand is growing in absolute terms. Electricity demand is growing faster than overall energy demand. The capital requirements to meet that demand across generation, transmission, distribution and efficiency span multiple technology types, multiple geographies and multiple time horizons. And the current environment does not attach to energy in the abstract-it attaches to power that is simultaneously available, dependable, affordable, politically acceptable and location-matched to where demand growth is actually occurring.

This framework maps naturally to three investment horizons. The short cycle-with the fastest capital deployment and nearest return realization-encompasses data center power infrastructure, grid equipment and demand-side efficiency, most of which are in active procurement and can absorb capital productively within existing market structures. The medium cycle encompasses natural gas infrastructure, nuclear fuel supply and services, and critical minerals development, where investment decisions made today will determine supply availability in the range of three to 10 years.

The long cycle encompasses transmission capacity, large-scale generation development and industrial decarbonization, where decades-long asset lives require foresight on both the demand trajectory and the regulatory environment across multiple investment horizons.

Franklin Templeton's research and portfolio construction capabilities are specifically suited to hold all three of these horizons simultaneously. The firm's global presence-across equity, fixed income, real assets and alternatives-enables analysis that is not constrained by a single-asset-class or single-geography focus. Its depth of research across macroeconomic, geopolitical and sector-specific variables positions it to navigate the analytically demanding intersection of energy security, technological change, affordability, politics and climate risk management that defines the investment landscape of the current decade. The energy addition thesis is, ultimately, a thesis about the breadth and duration of a structural capital deployment cycle. Across that cycle, the investors best positioned will be those whose analytical frameworks are as broad and as durable, as the forces driving it.

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Endnotes

Source: "Global Energy Review 2026: Key findings." International Energy Agency. (2026).

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Commodity-related investments are subject to additional risks such as commodity index volatility, investor speculation, interest rates, weather, tax and regulatory developments.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

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